a shorter doubling time. But there are bigger absolute differences between lower rates of growth than between higher ones.

(You can also see this relationship in Figure 3.3. Not every line gets up to a value of 8. But look at those that do. And compare the year at that point with the year when they crossed through the value of 4. The difference is the doubling time. You'll see that it gets shorter and shorter as the growth rates increase.)

So in any investment portfolio, there is a huge advantage to increasing your net return (after tax and inflation) from low single digits to high single digits. Of course, short-term price moves in a single week, month, or year could be much better or worse. The crucial thing is that they average out at a higher level in the long run.

At the same time, at higher rates of growth, each additional increment is still good news. But the effect on the doubling time is less. Moving from 20 percent to 25 percent per year—an increase of a whole 5 percent per year—only reduces the doubling time from 3.8 to 3.1 years.

Conclusion: *If you have a strategy to give already high returns, taking on the extra risk to squeeze even more out of your investments is probably not worth it. The priority is to get those first improvements. These are the low-hanging fruit of enhancing your long-term investment returns, when viewed through the prism of doubling times*.

Double Your Money in Eight Years

Assuming a tax rate of 40 percent and inflation rates of 5 percent, you would need 8.33 percent gross return (before taxes and inflation, but after fees) just to break even. . .

Let's say you have 50 percent of your investments in 10-year Treasury bonds and the other 50 percent in the Standard & Poor's (S&P) 500. Your T-bond has a yield to maturity of 2 percent, at time of writing. Over 10 years, you will make exactly 2 percent per year gross with this investment—50 percent of the portfolio in this example.

But you need a gross return of 8.33 percent just to break even. So your S&P 500 stocks will have to make up the difference. This means the S&P 500 would have to return 14.66 percent over 10 years for the net result to be 8.33 percent per year gross.

Think about it. . . .

Inflation: A Stealth Tax on Your Wealth

Using our simple formula, let's think about price inflation. If the inflation rate is 3 percent, the doubling time is 23.3 years. This is close to the average official (CPI-U) inflation rate in the United States since 1987.

Prices would double in just over 23 years. Because they think in a linear way, most people wrongly assume that this doubling would take 33.3 years. For something to double, it has to go up 100 percent. So the thinking goes that if you add 3 percent per year, it would take 33.3 years to double. But because inflation is exponential—*because it compounds*—the doubling time is much shorter.

Put another way, a bundle of dollar bills in a safety deposit box would buy half as much in 23.3 years. The bills earn no interest. But consumer prices would double.

Real (nonofficial) price inflation is substantially above official rates. Government statisticians use various tricks to fiddle the numbers. The result? Inflation-linked